

ARISTO EDUCATIONAL PRESS
HONG KONG DIPLOMA OF SECONDARY
EDUCATION EXAMINATION

(Mock Test 32)

Suggested Solution

Paper 1

1. A	11. C	21. A	31. B	41. A
2. B	12. B	22. A	32. C	42. D
3. C	13. C	23. D	33. B	43. C
4. B	14. C	24. B	34. B	44. B
5. D	15. C	25. B	35. D	45. A
6. A	16. D	26. D	36. D	
7. A	17. B	27. C	37. B	
8. C	18. D	28. B	38. A	
9. D	19. D	29. A	39. C	
10. C	20. D	30. D	40. A	

Explanation

1. Answer: A

(1) is correct. The university in Hong Kong giving Charlotte an admission scholarship will increase the value of the highest-valued option forgone.

(2) is correct. When the Hong Kong dollar depreciates against the British pound, each unit of the Hong Kong dollar can be exchanged for fewer British pounds. Her monetary cost (in terms of the Hong Kong dollar) of studying a bachelor's degree programme in the UK will increase.

(3) is incorrect. The fact that university life in the UK is more boring than she expected will reduce the value of the chosen option, without affecting her highest-valued option forgone.

2. Answer: B

Whether the development of high-tech industries will increase Hong Kong's per capita GDP can be tested against objective facts.

Option A is incorrect. Mr. Chan's statement does not involve value judgement.

3. Answer: C

(2) is correct. The suggestion is about who gets access to public transport services, and this is related to the 'for whom to produce' problem.

(3) is correct. The adjustment of the concessionary fare of the 'the \$2 Scheme' is determined by government decision.

(1) is incorrect. The increase of the fare from \$2 to \$3 per trip will increase the monetary cost of travelling on public transport modes for people aged 60 and above.

4. Answer: B

Firm A is a partnership while firm B may be a private limited company or a public limited company.

Option B is correct. A partnership lacks lasting continuity. If one of the partners goes bankrupt, the partnership will be dissolved. As a limited company is a legal entity, when one of the owners goes bankrupt, firm B will continue to exist.

Option A is incorrect. If firm B is a private limited company, it does not need to disclose its financial information to the public.

Option C is incorrect. If firm B is a private limited company, shareholders must obtain the consent of other shareholders to transfer their shares. Thus, the risk of being taken over will not be higher than that of firm A.

Option D is incorrect. If firm B is a public limited company, it can issue shares to the public.

5. Answer: D

Public goods are non-rival in consumption. Once a public good is produced, the additional cost of serving it to an extra consumer is zero. For example, the cost of serving an extra ship to use the guiding service of a lighthouse is zero.

Option A is incorrect. When a book is borrowed by a reader, it cannot be borrowed by another reader. A book is rival in consumption.

Option B is incorrect. Public goods are not necessarily provided by the government. Private enterprises can also provide public goods.

Option C is incorrect. The cost of producing an additional unit of a public good can be greater than zero.

6. Answer: A

(1) and (2) are correct. The bar and the lighting facilities in the carpark are man-made resources used in the production process.

(3) is incorrect. The cars parked in carpark are not an input used in production.

7. Answer: A

Experienced workers are generally more productive. The fact that more experienced workers have retired will reduce the labour supply and average labour productivity.

Option B is incorrect. Labour productivity will increase when more enterprises adopted artificial intelligence to replace workers.

Option C is incorrect. More residents moving to work in neighbouring areas will lead to a decrease in the labour supply, but the change in average labour productivity is uncertain.

Option D is incorrect. A decrease in the degree of division of labour will reduce the average labour productivity, but it will not affect the labour supply.

8. Answer: C

Labour (units)	Machines (units)	Average product (units)	Total product (units)	Marginal product (units)
5	10	11	55	-
6	10	13	78	23
7	10	15	105	27
8	10	X	Y	Z

Suppose Y is the total product of the 8 units of labour, and Z is the marginal product of the 8th unit of labour.

If the above data illustrates the law of diminishing marginal returns, the value of Z must be less than 27, and the value of Y must be less than 132 (= 105 + 27).

Therefore, the value of X must be less than 16.5 (= 132 / 8).

9. Answer: D

As more online food delivery platforms are launched, the scale of the industry expands. As the platforms compete for food delivery couriers, their average salaries will thus increase. The average production cost will increase accordingly. This phenomenon is external diseconomies of scale.

10. Answer: C

Output (units)	Original average cost (\$)	Original total cost (\$)	Original marginal cost (\$)	New average cost (\$)	New total cost (\$)	New marginal cost (\$)
5	10	50	-	12	60	-
6	10	60	10	12	72	12
7	11	77	17	13	91	19
8	12	96	19	14	112	21
9	13	117	21	15	135	23

The original market price is \$21 and the profit-maximising output is 9 units, as marginal revenue equals marginal cost at this output level.

The new market price is \$19, and the profit-maximising output is 7 units.

New profit = (\$19 × 7) – \$91 = \$42

11. Answer: C

(1) is correct. The company may enjoy economies of scale after the expansion of the production scale.

(2) is correct. Both Sega Sammy Holdings and Rovio Entertainment are engaged in the game development business. The acquisition could reduce the number of competitors and thus reduce competition.

(4) is correct. Both Sega Sammy Holdings and Rovio Entertainment are engaged in the game development business. The acquisition could increase Sega Sammy Holdings's market share.

(3) is incorrect. Acquiring another game developer does not guarantee a higher profit.

12. Answer: B

According to the figure, compared with Country B, Country C is farther away from Country A. The transport cost of exporting 1 unit of apples from Country A to Country C is higher than that to Country B.

With the per-unit transport cost, the relative price of high-quality apples in Country C is lower than that in Country B, so the proportion of high-quality apples imported by Country C will be higher. The average quality of apples sold in Country C will be higher.

Option A is incorrect. With the per-unit transport cost, the relative price of high-quality apples in Country C is lower than that in Country B, so the proportion of high-quality apples imported by Country C will be higher.

Option C is incorrect. When the cost of transporting 1 unit of apples decreases, the price of apples imported from Country A will fall in Country B and Country C and the quantity demanded will increase. If the demand for apples is inelastic, total expenditure will decrease.

Option D is incorrect. When the cost of transporting 1 unit of apples increases, the monetary cost of importing apples to both countries will increase and the quantity of imported apples will decrease.

13. Answer: C

(1) is correct. Beef and plant-based meat are substitutes. When the price of beef increases, the demand for plant-based meat will increase. Consumers' total spending on plant-based meat will increase.

(2) is correct. Beef and plant-based meat are substitutes. When the price of beef increases, the demand for plant-based meat will increase. Producer surplus in the market of plant-based meat will increase.

(3) is correct. Beef and leather are in joint supply. When the price of beef increases, the supply of leather will increase. Consumer surplus in the market of leather will increase.

(4) is incorrect. Beef and leather are in joint supply. When the price of beef increases, the supply of leather will increase. The price of leather will decrease and the quantity transacted will increase.

Therefore, the change in the total revenue of leather producers will be uncertain, depending on the price elasticity of demand for leather.

14. Answer: C

The release of studies that suggest that electric vehicles perform poorly in cold environments will reduce the demand for electric vehicles, causing the equilibrium position to shift from A to B.

Option A is incorrect. Electric vehicle batteries are a factor of production of electric vehicles. An increase in the production cost for electric vehicle batteries will reduce the supply of electric vehicles.

Option B is incorrect. More traditional automakers entering the electric vehicle market will increase the supply of electric vehicles.

Option D is incorrect. The government offering tax exemptions to buyers of electric vehicles will increase the demand for electric vehicles.

15. Answer: C

The original producers' total revenue is \$1,000 ($= \40×25 units).

After the price increases from \$40 to \$50, the producers' total revenue will be \$1,000 ($= \50×20 units).

Since the total revenue remains unchanged when the price increases, within the price range of \$40 to \$50, the price elasticity of demand is equal to one, i.e. at the mid-point of the demand curve.

For a downward-sloping linear demand curve, the price elasticity of demand increases as the price goes up along the curve. When the price increases from \$50 to \$60 (i.e. above the mid-point of the demand curve), the price elasticity of demand is greater than one. The percentage increase in price is smaller than the percentage decrease in quantity demanded, so producers' total revenue will decrease.

16. Answer: D

If the demand for good X is more elastic than its supply, the consumers' share of the subsidy will be smaller than the producers' share of the subsidy.

(1) is correct. If the price of good X decreases by \$2, the consumers' share of the subsidy per unit (\$2) will be smaller than the producers' share of the subsidy per unit (\$4).

(2) is incorrect. If the price of good X falls by \$4, the consumers' share of the subsidy per unit (\$4) will be greater than the producers' share of the subsidy per unit (\$2).

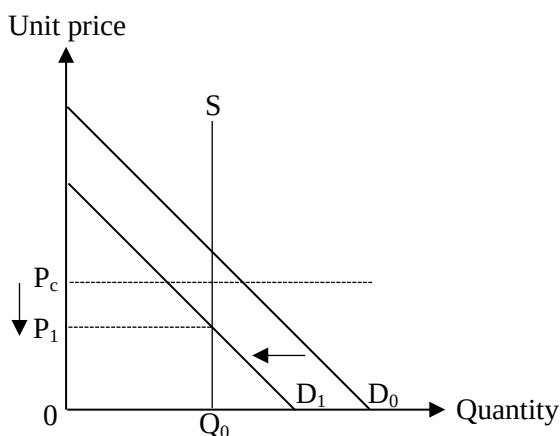
If the demand for good X is less elastic than its supply, the consumers' share of the subsidy will be greater than the producers' share of the subsidy.

(3) is correct. If the price of good X decreases by \$4, the consumers' share of the subsidy per unit (\$4) will be greater than the producers' share of the subsidy per unit (\$2).

If the demand for good X is as elastic as its supply, the consumers' share of the subsidy will be equal to the producers' share of the subsidy.

(4) is correct. If the price of good X decreases by \$3, the consumers' share of the subsidy per unit (\$3) will equal the producers' share of the subsidy per unit (\$3).

17. Answer: B



Before the decrease in demand, the price ceiling at P_c is effective and the quantity transacted is Q_0 .

When the demand decreases from D_0 to D_1 , the price ceiling at P_c becomes ineffective. The new price is P_1 and the quantity transacted is Q_0 .

The price of good X will decrease and the quantity transacted will remain unchanged and total spending will decrease. The market of good X will be at the equilibrium after the price ceiling becomes ineffective. Excess demand for good X will disappear.

18. Answer: D

Unit price (\$)	9	10	11	12	13	14	15
Quantity demanded (units)	50	45	40	35	30	25	20
Quantity supplied (units)	20	25	30	35	40	45	50
Quantity supplied after tax (units)	-	-	20	25	30	35	40
Quantity supplied after subsidy (units)	30	35	40	45	50	-	-

Before the market intervention, the equilibrium price of good X is \$12 and the equilibrium quantity is 35 units. Consumers' total expenditure on good X is \$420.

Option D is correct. After a per-unit subsidy of \$2 is provided, the new market price is \$11 and the quantity transacted is 40 units. The total revenue including subsidy is \$520 [= (\$11 + \$2) × 40].

Option A is incorrect. As the price floor of \$10 is below the equilibrium price, the price floor is ineffective and the quantity transacted will remain unchanged at 35 units.

Option B is incorrect. If a production quota is set at 25 units, the market price will be \$14. Consumers' total expenditure on good X will be \$350, which is a decrease of \$70 compared to the amount before the quota.

Option C is incorrect. If a per-unit tax of \$2 is imposed, the new market price will be \$13, which is an increase of \$1.

19. Answer: D

In a perfectly competitive market, all buyers and sellers make consumption and production decisions based on a given price. The firm can sell as much as it wants at the prevailing market price and it has no influence on the market price. Therefore, the revenue from selling an additional unit of output, i.e. marginal revenue, is equal to the price.

Option A is incorrect. In a perfectly competitive market, sellers sell homogeneous products.

Option B is incorrect. In a perfectly competitive market, individual firms cannot influence the market price. However, the market price will still change due to changes in market demand and/or market supply.

Option C is incorrect. In a perfectly competitive market, both buyers and sellers have perfect market information.

20. Answer: D

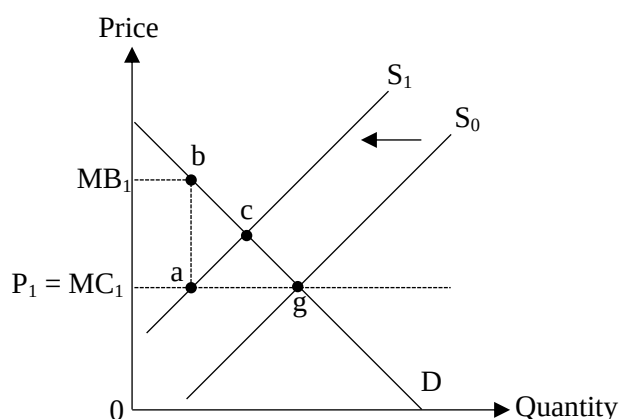
Lamb and wool are in joint supply. When the demand for lamb increases, the price of lamb will increase, leading to an increase in the supply of wool.

Option A is incorrect. Consumers will buy wool until the price equals the marginal benefit. When the supply of wool increases, its price will decrease and the marginal benefit of the last unit of wool will decrease.

Option B is incorrect. An increase in the supply of wool will increase the total social surplus, but this does not mean that economic efficiency has improved. Before and after the change in supply, at the equilibrium quantity, the marginal benefit is equal to the marginal cost and the total social surplus has reached the maximum, i.e. efficiency has been achieved. Therefore, an increase in supply will not improve efficiency.

Option C is incorrect. An increase in the price of wool leads to an increase in the quantity supplied of wool, not an increase in the supply.

21. Answer: A



When the supply of good X decreases from S_0 to S_1 , the marginal benefit (MB_1) will be larger than the marginal cost (MC_1) and the deadweight loss will be area abc.

22. Answer: A

Kelly benefits from Jason's performance without paying any compensation to Jason. External benefit exists and there is a divergence between private and social benefits.

Option A is correct. The marginal private cost for Jason of playing the piano will decrease. Jason will play more and Kelly can enjoy more. The divergence between private and social benefits will decrease and economic efficiency will improve.

Option B is incorrect. There is no divergence between private and social costs in this case.

Option C is incorrect. Kelly's payment to Jason will narrow the divergence between private and social benefits, but it does not mean that the divergence will necessarily be eliminated.

Option D is incorrect. There is not enough information to determine whether government intervention is needed to achieve efficiency.

23. Answer: D

When the progressiveness of salaries tax increases, the average tax rate paid by high-income groups will increase by a larger amount than that paid by low-income groups. This can narrow the income gap and reduce the Gini coefficient based on post-tax post-social transfer monthly household income.

Option A is incorrect. The post-tax post-social transfer household income of the recipients will decrease. As the recipients are mainly low-income people, the income gap between the rich and the poor will widen. The Gini coefficient based on post-tax post-social transfer monthly household income will increase.

Option B is incorrect. When the government tightens the eligibility criteria for applying for subsidised housing, fewer people are eligible to apply for subsidised housing, and the number of low-income people receiving subsidised housing will decrease. The income gap between the rich and the poor will widen. The Gini coefficient based on post-tax post-social transfer monthly household income will increase.

Option C is incorrect. Tobacco tax is a regressive tax. As the same amount of tax increase takes up a higher proportion of the income of the low-income group than that of the high-income group, the income gap between the rich and the poor will widen. The Gini coefficient based on post-tax post-social transfer monthly household income will increase.

24. Answer: B

(1) is correct. The value of consumption vouchers accounts for a higher percentage of the income of low-income groups, which can reduce income inequality.

(3) is correct. Distributing consumption vouchers will increase private consumption expenditure.

Aggregate demand will increase. In the short run, aggregate output will increase.

(2) is incorrect. It does not help equalise opportunities. The poor do not get more resources to improve their productivity or increase future income relative to the rich.

25. Answer: B

Value added of local raw material producers = \$100

Value added of local manufacturers = $(\$520 + \$230) - (X + \$100) = \$650 - X$

Value added of local retailers = $(\$140 + \$260) - \$230 = \170

The contribution of the above production chain to Country A's GDP at market prices = $\$100 + \$650 - X + \$170 = \$920 - X$

The contribution of the above production chain to Country A's GDP at factor cost = $\$920 - X + \50

$\$920 - X + \$50 = \$800$

$X = \$170$

26. Answer: D

Suppose 2021 is the base year.

Nominal GDP in 2021 = $\$15 \times 50 + \$30 \times 40 = \$1,950$

Nominal GDP in 2022 = $\$18 \times 48 + \$28 \times 42 = \$2,040$

Real GDP in 2021 = $\$15 \times 50 + \$30 \times 40 = \$1,950$

Real GDP in 2022 = $\$15 \times 48 + \$30 \times 42 = \$1,980$

GDP deflator in 2021 = 100

GDP deflator in 2022 = $(\$2,040 / \$1,980) \times 100 = 103.03$

27. Answer: C

(2) is correct. GDP at market prices + Subsidies – Indirect taxes = GDP at factor cost

The GDP at market prices (\$500 million) is smaller than the GDP at factor cost (\$515 million), which means that the amount of subsidies minus indirect taxes is greater than zero, i.e. the amount of subsidies is greater than the indirect taxes.

(3) is correct. The GDP deflator is smaller than 100, which means that the real GDP is greater than the nominal GDP.

(1) is incorrect. GDP at market prices + Net factor income from abroad = GNI at market prices

The GDP at market prices (\$500 million) is greater than the GNI at market prices (\$475 million), which means that the net factor income from abroad is less than zero.

28. Answer: B

When many factories are closed due to a mass labour strike, the short run aggregate supply will decrease, and the price level will increase in the short run.

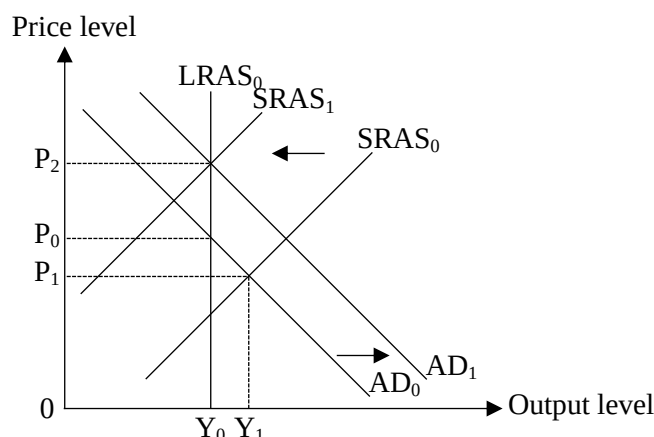
Option B is correct. When people's desire to save increases, private consumption expenditure will decrease. Aggregate demand will decrease and the price level will decrease, which will offset the effect of a decrease in the short run aggregate supply on the price level in the short run.

Option A is incorrect. When the income of the economy's trading partners increases, the economy's net exports will increase. Aggregate demand will increase and the price level will increase further.

Option C is incorrect. When the government raises the minimum wage rate, production cost will increase. Short run aggregate supply will decrease and the price level will increase further.

Option D is incorrect. When producers expect the price level to increase, the short run aggregate supply will decrease and the price level will increase further.

29. Answer: A



When the economy's trading partners experience economic recovery, net exports will increase and aggregate demand will increase. The aggregate demand curve will shift to the right from AD_0 to AD_1 . In the long run, the short run aggregate supply curve will shift to the left from $SRAS_0$ to $SRAS_1$. In the long run, the price level will be P_2 and the output level will be Y_0 .

30. Answer: D

(1) is correct. When hyperinflation occurs in Country A, the purchasing power of its currency will decrease.

(2) is correct. Money is anything that is generally acceptable as a medium of exchange. When people generally use the currency of Country B as a medium of exchange, the currency of Country B can be regarded as money.

(3) is correct. Country B's currency serves as a medium to facilitate people's buying and selling of goods and services.

31. Answer: B

A withdrawal of HK\$800,000 from a time deposit account with a deposit-taking company will increase M_1 and M_2 by HK\$800,000, while M_3 will remain unchanged.

Putting HK\$200,000 into his safe deposit box in a licensed bank will not affect M_1 , M_2 and M_3 .

Putting HK\$500,000 into his account with a restricted licence bank will cause M_1 and M_2 to decrease by HK\$500,000, while M_3 will remain unchanged.

Remitting the remaining HK\$100,000 overseas will cause M_1 , M_2 and M_3 to decrease by HK\$100,000.

In summary, M_1 and M_2 will increase by HK\$200,000, and M_3 will decrease by HK\$100,000.

32. Answer: C

If the required reserve ratio is increased to 30%, the maximum amount of deposits will be \$1,500 million [= \$450 million $\times$ (1/30%)].

Option A is incorrect. Money supply = \$1,800 million + \$200 million = \$2,000 million

Option B is incorrect. Required reserve ratio = (\$450 million / \$1,800 million) $\times$ 100% = 25%

After the public withdraw \$100 million from the bank,

Maximum amount of deposits = (\$450 million – \$100 million) $\times$ (1/25%) = \$1,400 million

Maximum amount of loans = \$1,400 million – \$350 million = \$1,050 million

Maximum possible decrease in loans = \$300 million

Option D is incorrect. The increase in the required reserve ratio will not affect the amount of the reserves.

33. Answer: B

When people's confidence in electronic wallets weakens, they will hold more money for transactions. Transaction demand for money will increase while asset demand for money will not be affected.

34. Answer: B

When there is unexpected inflation, the purchasing power of the interest received by the bondholders will decrease, so the bondholders will lose.

Option A is incorrect. When there is unexpected deflation, the purchasing power of the interest paid by the bond issuer will increase, so the bond issuer will lose.

Option C is incorrect. The cost of holding money is equal to the nominal interest rate (5%).

Option D is incorrect. Expected real interest rate = Nominal interest rate – Expected inflation rate = 2%
The expected real interest rate (2%) is lower than the nominal interest rate (5%).

35. Answer: D

According to the classical quantity theory of money, a change in the money supply causes a proportional change in nominal GDP.

Option A is incorrect. According to the classical quantity theory of money, a change in the price level does not lead to a change in the money supply.

Option B is incorrect. According to the classical quantity theory of money, when the money supply changes by a fixed percentage, the price level will also change by a fixed percentage, i.e. the inflation rate will be greater than zero.

Option C is incorrect. According to the classical quantity theory of money, real output is assumed to be constant and does not change with the money supply.

36. Answer: D

From 2020 to 2022, the unemployed population in Country A increased while the unemployment rate decreased.

$$\text{Unemployment rate} = (\text{Unemployed population} / \text{Labour force}) \times 100\%$$

The above phenomenon can be explained by the percentage increase in labour force which is greater than the percentage increase in the unemployed population.

Option D is correct. When the government provides a transport subsidy to the employed, people's incentive to seek jobs will increase and the labour force will increase. As some of them may not be able to find a job, the unemployed population may increase. If the percentage increase in the labour force is greater than the percentage increase in the unemployed population, the unemployment rate will decrease.

Option A is incorrect. The unemployed population would have increased if more manufacturers had closed their businesses. Assume that the labour force had remained unchanged, the unemployment rate would have increased, which does not match the data.

Option B is incorrect. When employed people go overseas to work through the Working Holiday Scheme, the labour force will decrease.

Option C is incorrect. When some unemployed workers give up seeking jobs, the unemployed population will decrease, which does not match the data.

37. Answer: B

(1) is correct. Income from employment is subjected to salaries tax.

(2) is correct. Rental income derived from letting out properties is subjected to property tax.

(3) is incorrect. There is no interest tax in Hong Kong, so interest income is not subject to taxation.

(4) is incorrect. There is no dividend tax in Hong Kong, so dividend income is not subject to taxation.

38. Answer: A

The introduction of a general sales tax can bring more people into the tax net and broaden the tax base.

39. Answer: C

When the central bank purchases government bonds from the public, the money supply will increase.

The interest rate will decrease, causing the consumption/investment to increase. Aggregate demand will increase. The AD curve will shift to the right. When the government increases spending on

infrastructure construction, government expenditure will increase and aggregate demand will increase.

The AD curve will shift to the right. In the long run, more infrastructure will increase the productive capacity of the economy, so long run aggregate supply will increase. The LRAS curve will shift to the right.

40. Answer: A

Increasing transfer payments can increase people's disposable income. This will cause private consumption expenditure to increase and aggregate demand to increase. The deflationary (output) gap will be narrowed. Since most of the recipients of transfer payments are low-income people, the income gap will be narrowed.

Option B is incorrect. Raising the discount rate will reduce the money supply. The interest rate will increase and consumption/investment will decrease. Aggregate demand will decrease and the deflationary (output) gap will widen.

Option C is incorrect. Sales tax is a regressive tax. Raising the sales tax rate will widen the income gap. A higher sales tax rate will reduce the short run aggregate supply and widen the deflationary (output) gap.

Option D is incorrect. Reducing the profits tax rate will increase investment expenditure. Aggregate demand will increase and the deflationary (output) gap will be narrowed. However, as most people paying the profits tax are high-income people, reducing the profits tax rate will widen the income gap.

41. Answer: A

Both low-income people and high-income people pay the same amount of duty on cigarettes. The duty on cigarettes accounts for a higher percentage of income for the low-income people.

42. Answer: D

(1) is correct. Country A can produce more apples than Country B with the same amount of resources, so Country A has an absolute advantage in producing apples.

Country A's opportunity cost of producing 1 unit of apples = 1.5 (= 60/40) units of bread

Country B's opportunity cost of producing 1 unit of apples = 1.8 (= 45/25) units of bread

As Country A has a lower opportunity cost in producing apples, Country A has a comparative advantage in producing apples.

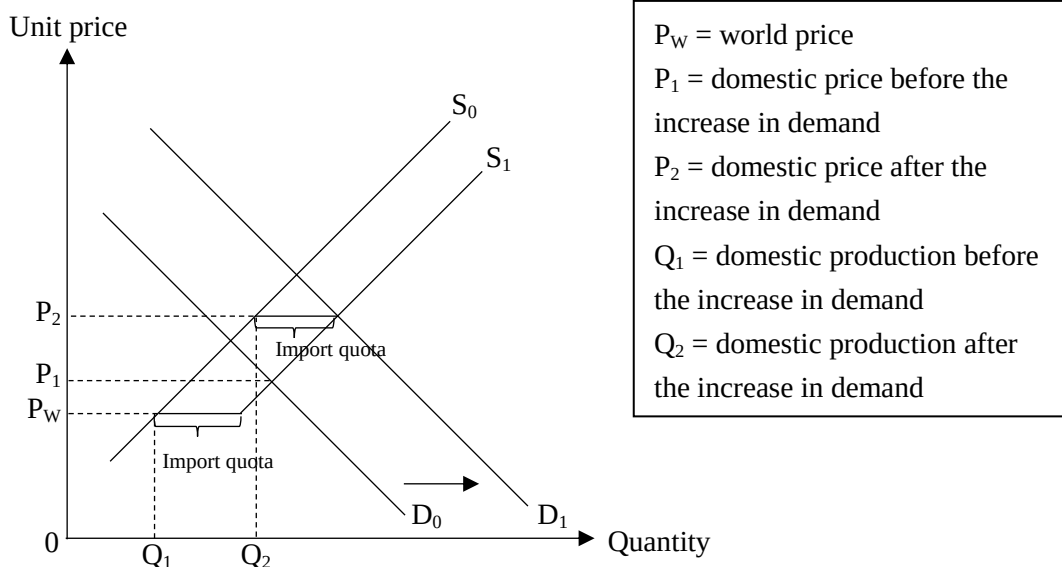
(2) is correct. As the terms of trade lies between the opportunity costs of producing apples for the two countries, it is a mutually beneficial terms of trade.

(3) is correct. Terms of trade: 1 unit of apples = 1.75 units of bread

Country A's gain from trade per unit of apples exported = 0.25 (= 1.75 – 1.5) units of bread

Country A's total gain from trade for exporting 20 units of apples = 5 (= 0.25 × 20) units of bread

43. Answer: C



(2) is correct. The domestic production of good X will increase from Q_1 to Q_2 .

(3) is correct. The import volume of good X will be equal to the quantity of quota.

(1) is incorrect. The world price of good X will remain unchanged.

(4) is incorrect. The quantity demanded of good X is equal to the quantity supplied. The market for good X is in equilibrium.

44. Answer: B

During the period of October to December 2022, more Hong Kong dollars were needed to be exchanged for each unit of British pound. The British pound appreciated against the Hong Kong dollar (HKD depreciated against GBP).

Option B is correct. The depreciation of the HKD against the GBP would lead to an increase in the price of British goods in terms of HKD and the quantity of British goods exported to Hong Kong would decrease. As the prices of British goods in terms of GBP remained unchanged and demand decreased, the total value of British goods exported to Hong Kong (in terms of GBP) would decrease.

Option A is incorrect. The appreciation of the GBP against the HKD would make goods and services in Hong Kong cheaper (in terms of GBP) for British tourists, leading to an increase in the number of British tourists visiting Hong Kong.

Option C is incorrect. The depreciation of the HKD against the GBP would cause the price of Hong Kong's goods (in terms of GBP) to decrease. The quantity demanded would increase. The change in the total value of Hong Kong goods exported to Britain (in terms of GBP) would be uncertain, depending on the price elasticity of demand for Hong Kong goods.

Option D is incorrect. Under the linked exchange rate system, fluctuations in the exchange rates of the US dollar and the Hong Kong dollar are in phase. However, a depreciation of the HKD against the GBP does not lead to a depreciation of the US dollar against the GBP.

45. Answer: A

Balance of visible trade = Value of total exports of goods – Value of imports of goods

From 2021 to 2022, the value of exports of goods increased while the deficit of visible trade increased, implying that the value of imports of goods increased during the period.

Option A is correct. When Country A's value of goods imported from other countries increased, the value of imports of goods would increase.

Option B is incorrect. If manufacturers in Country A had replaced foreign imported raw materials with local raw materials, the value of imports of goods would have decreased, which does not match the data.

Option C is incorrect. When more residents from other countries purchased life insurance from insurance companies in Country A, the value of exports of services would increase, which is not shown in the data.

Option D is incorrect. When expenditure of residents of Country A during their visits to other countries increased, the value of imports of services would increase, which is not shown in the data.

Paper 2

Section A (44 marks)

1. (a) The value of the highest-valued option forgone (i.e. working at the fast food shop) will increase. Kylie's opportunity cost of visiting the food fair will increase. (2 marks)
(b) The decrease in the number of people visiting the food fair will reduce the time spent queuing up for admission. Kylie's time cost of visiting the food fair will decrease, so her opportunity cost of visiting the food fair will decrease. (3 marks)
2. (a) Primary production, because fishing is the production activity that extract raw materials from nature. (2 marks)
(b) Division of labour/specialisation. (1 mark)
Reasons:
 - choosing the best people to do the job
 - practice makes perfect
 - saving time on training
 - saving time on moving from one task to another
 - any reasonable answers(Mark the **FIRST THREE** points only)
(c) Fuel cost (1 mark)
as the spending would increase as output increases. (1 mark)
3. (a) Reasons:
 - Residents of Country A may enjoy less leisure time.
 - The environmental quality of Country A may be poorer.
 - Any reasonable answers(Mark the **FIRST TWO** points only)
(b) Country A. Although the Gini coefficient based on the original household income of Country A is higher than that of Country B, the Gini coefficient based on post-tax household income is lower than that of Country B. The income distribution of Country A after tax is more even than that of Country B, reflecting that Country A's tax policies are more effective in reducing income inequality. (2 marks)
4. (a) Verbal elaboration:
If people's demand for the bus services of the company is elastic, the percentage increase in fare will be lower than the percentage decrease in the number of trips. Fare revenue will decrease. (3 marks)

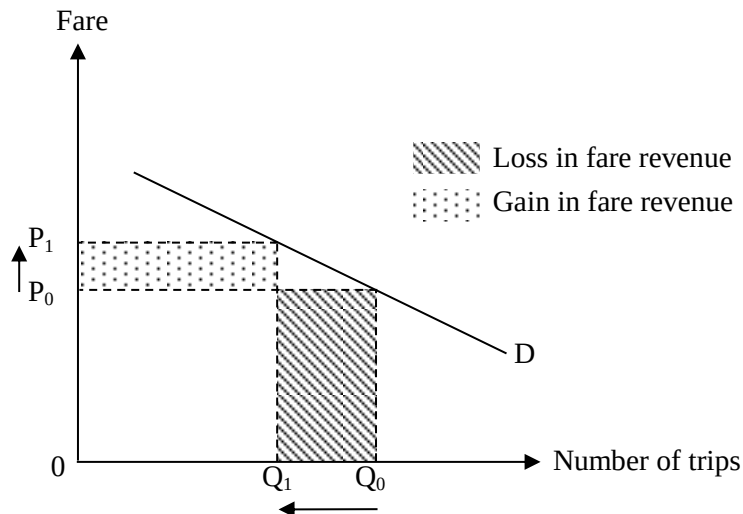
Illustrate in the diagram:

- Correct position of gain and loss in fare revenue

(1 mark)

- Gain in fare revenue < Loss in fare revenue

(1 mark)



5. (a) The country's year-on-year growth rate of GDP deflator is positive during the period of 2020 to 2022, implying that there is a persistent increase in the general price level. Inflation has occurred.

(2 marks)

- (b) No.

(1 mark)

If the percentage increase in the nominal wage is greater than the percentage increase in the GDP deflator, the real wage will increase.

(2 marks)

6. (a) (i) Verbal elaboration:

A sharp decrease in the price of lithium in Country A will reduce the production cost of electric vehicle batteries. The marginal cost of producing electric vehicles batteries will decrease. Total social surplus will increase.

(2 marks)

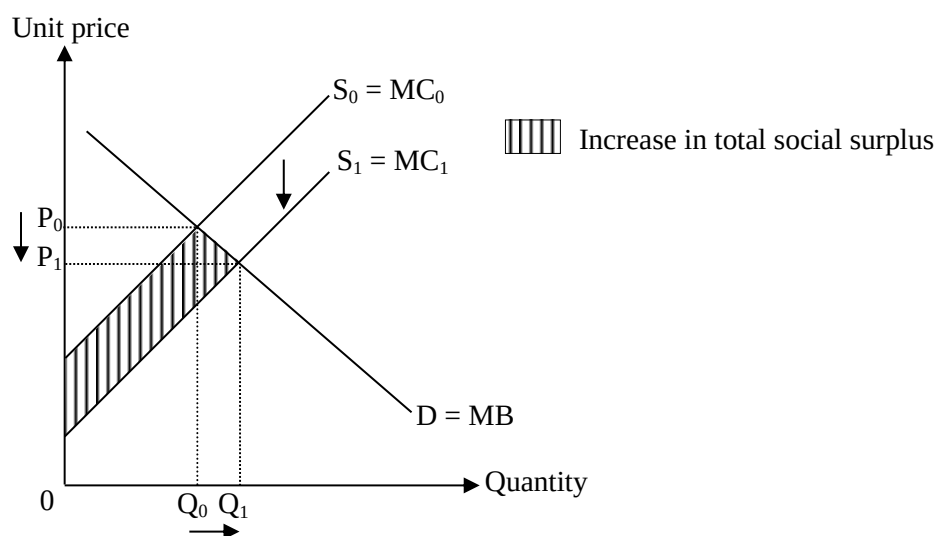
Illustrate in the diagram:

- downward shift of marginal cost curve (rightward shift of supply curve)

(1 mark)

- correct position of increase in total social surplus

(1 mark)



- (ii) No. As marginal benefit equals marginal cost at the equilibrium quantity before and after the change in marginal cost, the total social surplus has reached the maximum, i.e. efficiency is achieved. Therefore, the change in the price of lithium would not affect economic efficiency.

(2 marks)

- (b) Allocative function. The increase in demand for electric vehicles would induce the electric vehicle manufacturers to direct more resources towards the production of electric vehicles. (2 marks)
7. (a) Current account balance = $$(50 + 15 - 20 + 45 - 48)$ million = \$42 million (1 mark)
- (b) Country A's balance of payments in 2022 was +\$20 million, implying that the balance of payments was in surplus. (2 marks)
8. (a) After specialisation, the output of rice increases by 30 ($= 50 - 20$) units, while the output of clothing decreases by 40 units.
Opportunity cost of producing 1 unit of clothing = $0.75 (= 30/40)$ units of rice (2 marks)
- (b) Rice exported by Country A = 20 ($= 50 - 30$) units
Clothing imported by Country A = 50 ($= 50 - 0$) units
Therefore, 20 units of rice can be exchanged for 50 units of clothing. The terms of trade is 1 unit of clothing = $0.4 (= 20/50)$ units of rice. (2 marks)
- (c) Country B's gain from exporting 1 unit of clothing = 0.4 units of rice – 0.25 units of rice – 0.1 units of rice = 0.05 units of rice
Country B's total gain from trade from exporting 50 units of clothing = $2.5 (= 0.05 \times 50)$ units of rice (2 marks)

Section B (60 marks)

9. (a) Conglomerate integration, because (1 mark)
the oil company expanded to a totally different business. (1 mark)
- (b) Possible reasons:
- to diversify sources of income and spread risk
- to take advantage of the brand name
- any reasonable answers
(Mark the **FIRST TWO** points only) } 1@, max: 2 marks
- (c) Advantages:
- The football club can share some business risks with the players.
When the players perform poorly, the football club can pay the players less.
- The football club can have a lower cost of monitoring the players' performance as they would have a higher incentive to do well in matches.
- Any reasonable answers
(Mark the **FIRST TWO** points only) } 2@, max: 4 marks
- (d) No, (1 mark)
the TV broadcasts of the matches are produced from scarce resources which have alternative uses. /
more TV broadcasts of the matches are preferred. (1 mark)

(e) An advantage:

- can issue shares to the public to raise capital
- transfer of ownership is easier
- any reasonable answer

1@, max: 1 mark

(Mark the **FIRST** point only)

A disadvantage:

- higher risk of being taken over
- need to disclose its accounting information to the public
- any reasonable answer

1@, max: 1 mark

(Mark the **FIRST** point only)

10. (a) The above arrangement has a greater impact on the increase in private consumption expenditure and aggregate demand. If the government distributes cash directly, people usually consume only part of it and save the remaining. The impact on the increase in private consumption expenditure and aggregate demand will therefore be weakened. (3 marks)

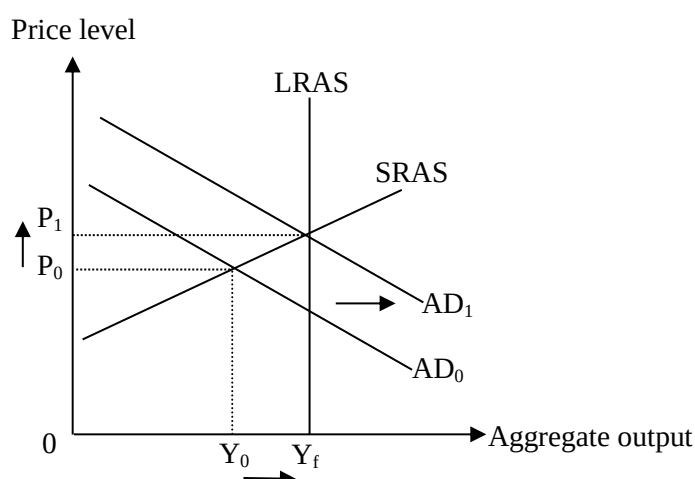
(b) Verbal elaboration:

When the government distributes coupons for accommodations and tour packages, people's disposable income would increase. Private consumption expenditure would increase and aggregate demand would increase. Aggregate output would increase to the full-employment output level.

(3 marks)

Illustrate in the diagram:

- correct position of initial short run aggregate output Y_0 (1 mark)
- rightward shift of aggregate demand curve (1 mark)
- correct position of new short run aggregate output Y_f (1 mark)



- (c) When South Korea has a deflationary (output) gap, there is an excess supply in the factor market, resulting in a downward pressure on input prices. The cost of production would decrease over time and short run aggregate supply would increase over time, restoring the output to the full-employment output level in the long run. (4 marks)
11. (a) Capital, because the computer is the man-made resource used in production. (2 marks)
- (b) How to produce. (1 mark)
- A company allowing more employees to work from home is about changing the method of production/deciding to reduce the size of the office is about what kind of resources and the quantities to use. (1 mark)

(c) Verbal elaboration:

As more companies allow employees to work from home, the demand for office will decrease.

(1 mark)

If the demand decreases sharply, even with a decrease in rents, the surplus could still increase, i.e. an increase in the vacancy rate.

(1 mark)

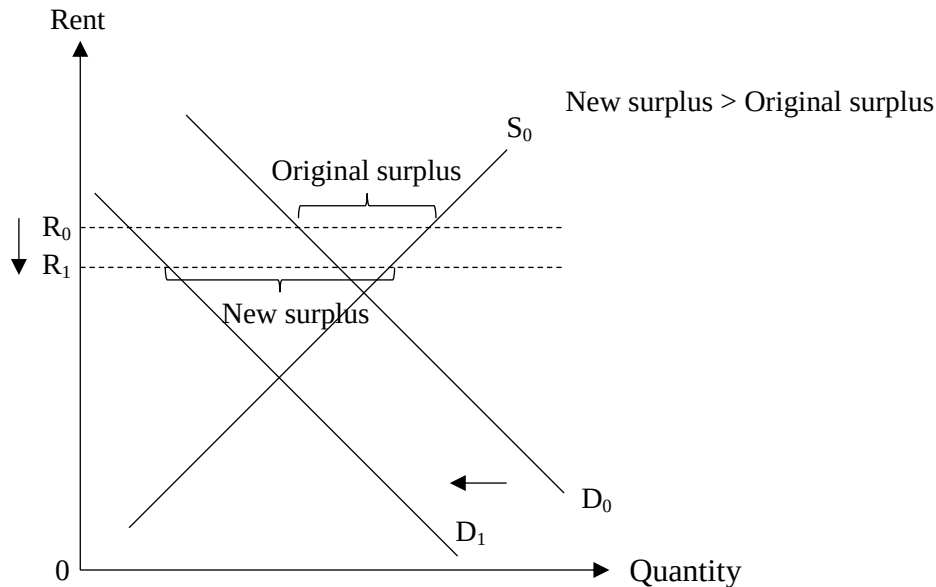
Illustrate in the diagram:

- leftward shift of demand curve

(1 mark)

- an increase in surplus at a lower rent

(2 marks)



(d) The deposit creation ability will decrease.

(1 mark)

When banks hold more excess reserves, the amount of loans available will decrease and the amount of deposits created will decrease.

(1 mark)

12. (a) A decrease in the labour force would reduce Hong Kong's productive capacity. Long run aggregate supply would decrease. In the long run, aggregate output would decrease. (2 marks)

(b) The geographical mobility of overseas workers will increase.

(1 mark)

This is because after Hong Kong relaxes the regulations on labour importation, it will be easier for overseas workers to work in Hong Kong.

(1 mark)

(c) The income of overseas workers would be included in the calculation of Hong Kong's GDP

because the income they earned is derived from the production of a Hong Kong resident producing unit. (2 marks)

If the overseas workers stay or intend to stay in Hong Kong for more than 12 months, their income will be included in Hong Kong's GNI as they are considered Hong Kong residents. (2 marks)

OR

If the overseas workers stay or intend to stay in Hong Kong for less than 12 months, their income will not be included in Hong Kong's GNI as they are not Hong Kong residents. Their income will be regarded as factor income earned by non-residents within Hong Kong. (2 marks)

(d) The price elasticity of supply for catering service will increase because it will become easier for restaurants to hire the factors of production needed for providing catering service. (2 marks)

(e) Marks awarded for effective communication (EC: max 2 marks)

Marks	Performance
2	• Arguments supported with the source/data and appropriate economic theories • Relevant materials presented • Well-organised and coherent answers presented without repetition of ideas • Ideas clearly and fluently expressed with appropriate use of language/words/terms/symbols
1	• Arguments presented with some support of the source/data and economic theories • Some irrelevant materials presented • Answers presented in a less organised way with some repetition of ideas • A clear message conveyed with some inappropriate use of language/words/terms/symbols
0	• Arguments presented with no support of the source/data and economic theories • Materials unrelated to the gist of the question presented • Inconsistent arguments presented • Limited ideas expressed with inappropriate use of words/terms/symbols

The maximum marks for content are 12 marks. Answers may include the following:

Average labour productivity

Proposal I:

Proposal I can reduce the opportunity cost of domestic workers enrolling in ERB courses. More domestic workers enrolling in the courses will improve their job skills and average labour productivity will increase.

Proposal II:

- After raising the minimum wage rate, the minimum wage rate may change from ineffective to effective in sectors that previously experienced labour shortage. Excess supply may result. Employers tend to hire more capable or experienced workers rather than less productive workers. To compete for job positions or keep their jobs, workers will have to enhance their skills by, for example, gaining new knowledge. Thus average labour productivity will increase.
- If the new minimum wage rate is still lower than the equilibrium wage, the minimum wage rate will still be ineffective and will not increase average labour productivity.

Evaluation:

Both Proposal I and Proposal II can increase average labour productivity. Proposal I may be better than Proposal II because Proposal I has a more certain effect on the increase in average labour productivity.

Number of employed persons

Proposal I:

- Proposal I can reduce the opportunity cost of domestic workers enrolling in ERB courses, helping the non-labour force to join the labour force. The number of employed persons may increase.

Proposal II:

If the new minimum wage rate is effective, the number of unemployed persons may increase, decrease or remain unchanged, depending on the level of the minimum wage. The change in the number of employed persons in the specific sectors is uncertain.

If the new minimum wage rate is ineffective, the quantity supplied of workers will not be affected. The number of employed persons in the specific sectors will remain unchanged.

Evaluation:

Proposal I may be better than Proposal II because Proposal I has a more certain effect on the increase in the number of employed persons.

Aggregate output

Proposal I:

- Proposal I will increase people's disposable income. Private consumption expenditure will increase and aggregate demand will increase. In the short run, Hong Kong's aggregate output will increase.

- Proposal I can improve the job skills of workers. Hong Kong's productive capacity will increase and long run aggregate supply will increase. In the long run, Hong Kong's aggregate output will increase.

Proposal II:

- If the new minimum wage rate is effective, the production cost of firms will increase. Short run aggregate supply will decrease. In the short run, Hong Kong's aggregate output will decrease.

- Raising the minimum wage rate will not affect Hong Kong's long run aggregate supply, thus it will not affect Hong Kong's aggregate output in the long run.

Evaluation:

Proposal I may be better than Proposal II. Proposal I will increase Hong Kong's aggregate output in the short run and long run, while Proposal II will reduce Hong Kong's aggregate output in the short run.

Section C (16 marks)

13. (a) Verbal elaboration:

It will produce at the output level where marginal revenue equals marginal cost. It will then set the price according to the demand curve. (1 mark)

Illustrate in the diagram:

- correct position of the MR curve (1 mark)

- correct position of Q_1 (1 mark)

- correct position of P_1 (1 mark)

(b) (i) The marginal revenue of FoodCat will increase. (1 mark)

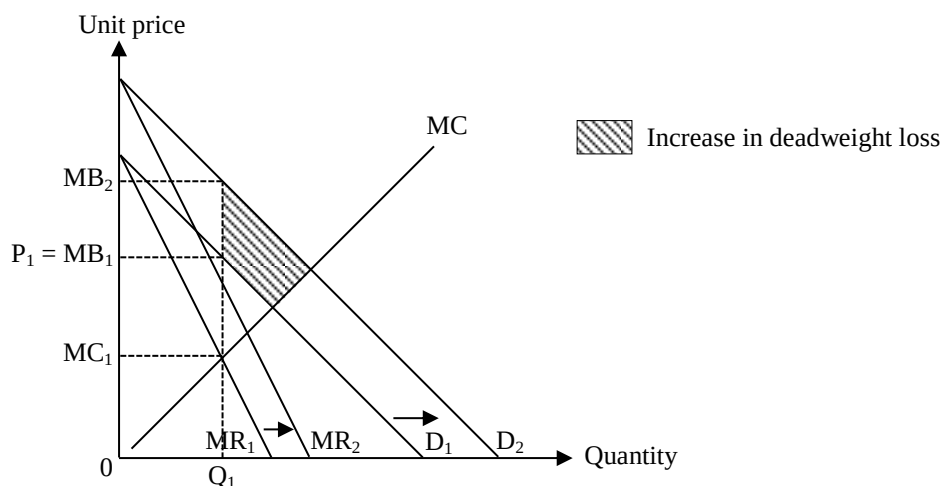
(ii) Verbal elaboration:

Economic efficiency will worsen. Deadweight loss will increase as the gap between marginal benefit and marginal cost widens and output moves further away from the efficient level.

(2 marks)

Illustrate in the diagram:

- correct position of the increase in deadweight loss/an increase in the gap between marginal benefit and marginal cost (1 mark)



(c) Yes. The costs of serving new customers and existing customers are the same, but new customers are charged a lower price for the same service. (3 marks)

(d) (i) Exclusive dealing. (1 mark)

Possible motives:

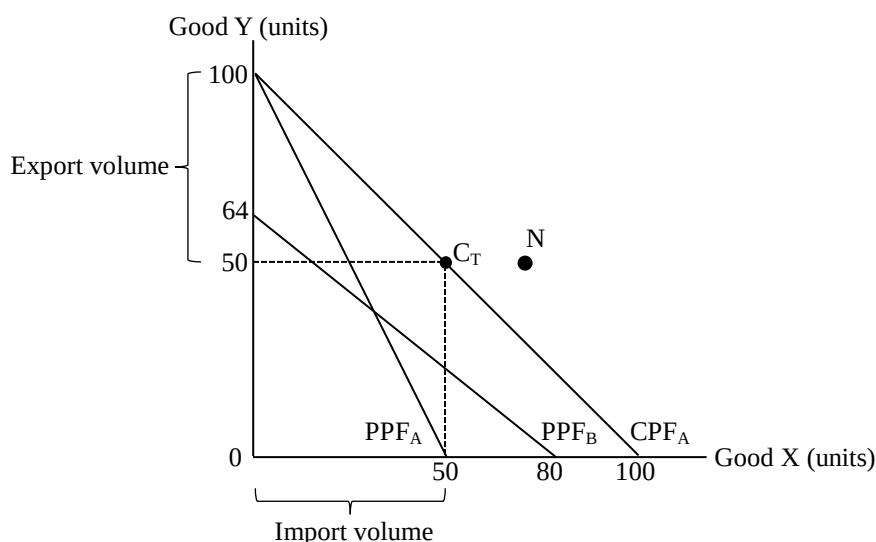
- FoodCat can prevent other companies from collaborating with these restaurants, thereby reducing competition.
- FoodCat can increase the price to earn higher profits.
- Any reasonable answers

1@, max: 2 marks

(Mark the **FIRST TWO** points only)

(ii) The first conduct rule. This is a case of an anti-competitive agreement. (2 marks)

14. (a) In both countries, the marginal costs of producing both good X and good Y are constant, not increasing. (1 mark)
- (b) Country A's opportunity cost of producing 1 unit of good X = $(= 100/50)$ 2 units of good Y (1 mark)
- Country B's opportunity cost of producing 1 unit of good X = $(= 64/80)$ 0.8 units of good Y (1 mark)
- Since Country B has a lower opportunity cost in producing good X, Country B has a comparative advantage in producing good X. (1 mark)
- (c) No. Point N is outside the PPF which is unattainable. (2 marks)
- (d) Illustrate in the diagram:
- correct position of CPF_A (1 mark)
 - correct position of C_T (1 mark)
 - correct position of export volume (1 mark)
 - correct position of import volume (1 mark)
- (e) Yes, Country A can consume beyond its production possibility frontier. (2 marks)



- (f) Costs:
- The income distribution may become more uneven: Residents engaged in trading industries may earn higher income, while residents engaged in other industries may not necessarily earn higher income.
 - The problem of environmental pollution may become more serious: As production may increase after the opening-up to trade, pollution may become more serious.
 - Any reasonable answers
- (Mark the **FIRST TWO** points only)

2@, max: 4 marks